Failed Delivery Creates a ฿41.2M Monthly Direct Value Leakage

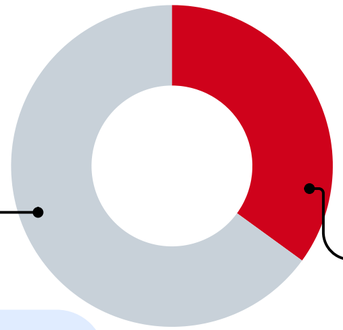
COD is where the problem is concentrated, not necessarily the root cause.

1 FAILED DELIVERY = ฿104 DIRECT SHOPEE VALUE IMPACT

฿24 Forward logistics + **฿20** Reverse logistics + **฿60** Forgone commission

~85% OF FAILED DELIVERIES COME FROM COD ORDERS

All orders: 1.07% failed-delivery rate



COD

35% of orders

2.61% failed-delivery rate

COD failure rate is ~10× higher than non-COD.

Non-COD

65% of orders

0.25% failed-delivery rate

AT SCALE: ~฿41.2M DIRECT VALUE AT RISK / MONTH

~37M monthly orders × 1.07% case FDR

~396K Failed deliveries /month **x** **฿104** Shopee direct impact/failure

~฿41.2M /month **~฿494M** annualized

~37M monthly orders approximated from Exhibit 4; team calculation.

SELLERS LOSE SALES AND CONFIDENCE IN SHOPEE

- **฿600 average seller sales lost per failed delivery**
- Returned items may be damaged in transit.
- Damage claims can require manual, time-consuming effort.

STRATEGIC IMPLICATION:

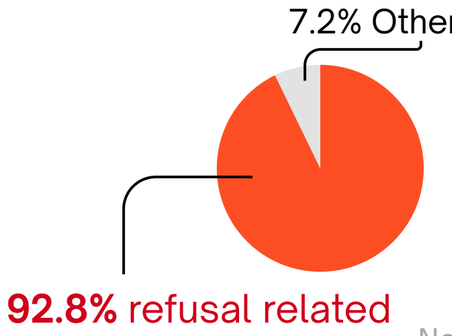
COD is too large a payment channel to treat as the problem itself. Focus on reducing avoidable failures without removing COD or hurting buyer experience.

Sources: SUCC 2026 Case; team analysis and calculations.

The Failure Reason Is Clear, But the Preventability Is Not

Keep COD, but address the preventable drivers behind failed deliveries.

92.8% OF FAILED DELIVERIES ARE REFUSAL-RELATED



81.6% Recipient refused

11.2% Recipient refused COD payment

Not all refusal-related failures are necessarily preventable.

But "refused" is an outcome, not necessarily the root cause. The case identifies underlying situations including:

- **Buyer unavailable / timing mismatch**
- **Change of mind / unwilling to receive**
- **COD non-payment / buyer abuse**

ADDRESSABLE HYPOTHESIS

Some refusal-related failures may be preventable through better delivery coordination.

CURRENT GAP

- Shopee's standard delivery flow currently does not allow buyers to specify/change delivery date or time.
- Buyers can contact the carrier to arrange a different date when needed.

OPPORTUNITY

Reactive delivery coordination → **Proactive** delivery coordination

How can Shopee move from reactive delivery coordination to proactive delivery coordination?

IMPLICATION FOR SOLUTION

Before dispatch: capture feasible availability preference

Near delivery: use ETA to trigger timely action

Sources: SUCC 2026 Case; Shopee Help Centre; team analysis.

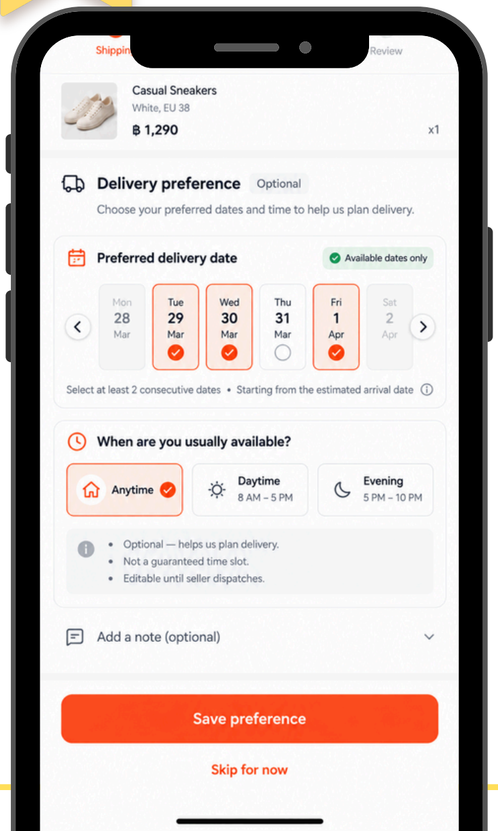
Coordinate delivery before the handover

Turn buyer availability into actionable delivery signals.

Shopee

Order Placed → 1 → Before Dispatch → 2 → Near Delivery → Delivery Attempt → Outcome

1 PLAN AROUND BUYER AVAILABILITY



FEASIBILITY FIRST

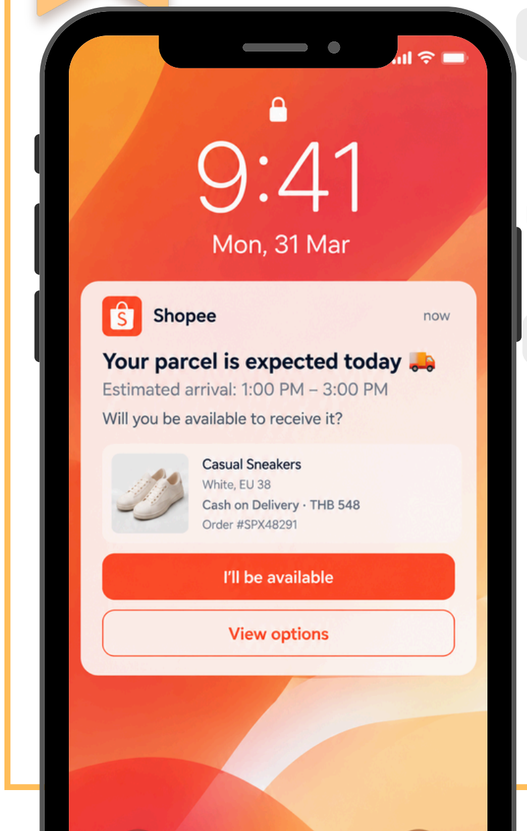
Shipment Readiness · Dispatch Cycle · Network Capacity

FEASIBLE OPTIONS

Buyer Selects
Preferred date and availability preference

Planning Signal
Used in delivery planning where feasible

2 CHECK READINESS AT THE RIGHT MOMENT



DYNAMIC PREDICTIVE ETA

● current system
● Enhancements

Rider Inbound Scan → Generated Route with AI ETA Model + Data Input (queue, speed, traffic, log tracking) → Output → Arrival Window

TIME-SENSITIVE NOTIFICATION

Pushes **estimated arrival window** directly to buyer's screen.

I'll be available	Confirms readiness for smooth handover.
View options	Opens flexible delivery management if unavailable.

*In-App Awareness Campaign: Informs buyers in advance to check ETAs and adjust plans before rider departure.

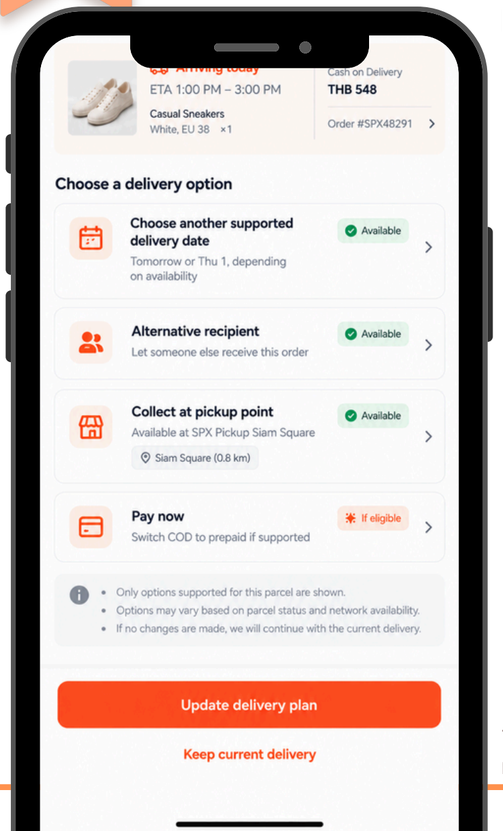
Handle delivery changes from adaptation to final closure

Surface feasible alternatives before failure, and a clear next step if failure still occurs.

Shopee

1 Order Placed → 2 Before Dispatch → 3 Near Delivery → 4 Delivery Attempt → Outcome

3 ADAPT BEFORE THE DELIVERY FAILS



DELIVERY OPTIONS

CHOOSE ANOTHER AVAILABLE DATE

↓

SMART RESCHEDULING & PRE-ROUTING

Instant Re-Routing: Removes parcel from rider's current route upon reschedule to prevent wasted trips.

↓

LOG TRACKING & PRIORITY QUEUE

Tags reschedule in system log: Automatically sets as **High-Priority Constraint** for the new delivery date.

OTHER HANDOVER METHODS

Alternative Recipient: Add backup contact/name

SPX Pickup Point: Self-collect at nearby hubs with a 5-day holding window.

* Address change restricted in this state to prevent logistics rerouting costs.

4 CLOSE THE LOOP AFTER FINAL FAILURE

WHAT IF THE DELIVERY STILL FAILS?

FINAL FAILURE → **CLEAR FINAL UPDATE** → **RETURN TO SELLER**

All delivery attempts and supported alternatives are exhausted

Communicate the final status and what happens next.

Parcel enters the existing return-to-seller flow.

BUYER *CLEAR CLOSURE*

- Final Delivery Status
- No Further Attempts
- No Further Delivery Action

SELLER *RETURN VISIBILITY*

- Return Initiated
- Return Tracking
- Final Order Status

NO SILENT FAILURE — clear final status for both buyer and seller

Business Impact & Implementation

From Fewer Failures to Measurable Business Value

VALUE RECOVERED UNDER DIFFERENT SCENARIOS

92.8% of failed deliveries are classified as refusal-related.
We size the opportunity by preventing a portion of this pool.

Scenario	Share of refusal pool prevented	Prevented failures / month	Direct value recovered / month
Conservative	10%	~36.8K	~฿3.82M
Planning case	**20%**	**~73.7K**	**~฿7.64M**
Upside	33%	~121.2K	~฿12.61M

Illustrative impact scenarios based on preventing refusal-related pool; not forecasts.

20% PLANNING CASE

~฿7.64M /month
Shopee direct value recovered

+ ~฿44.2M /month
Seller GMV preserved

Seller GMV shown separately; not included in Shopee direct value.

INCREMENTAL COST

~1.4M /month

- ETA + feasibility + action infrastructure
- Rescheduling / pre-routing
- Incremental handling & attempts

~2.2M Build cost

- Product + engineering + data
- UX/UI + QA
- Experimentation & monitoring

IMPLEMENTATION

BUILD
Develop feasibility logic, ETA and user interface

TEST
Run randomized A/B test

SCALE/REFINE
Scale if results are positive, or refine based on learnings

A/B TEST

A **Control**
Current delivery flow

B **Treatment**
Availability coordination + ETA + relevant action

SUCCESS METRICS

Primary KPI
Overall Failed Delivery Rate ↓

Secondary KPI
COD Failed Delivery Rate ↓

GUARDRAILS
COD selection | COD volume | Overall conversion

SCALE DECISION

Scale only if measured value > incremental cost

Sources: SUCC 2026 Case; Adecco Thailand Salary Guide 2026; Google Maps Platform Pricing; external logistics benchmark; team analysis and calculations.

SUCC Thailand 2026

MetaSan



Pornchanit Makapongumpai
(3rd year, Bachelor of Business Administration)



Penpitcha Piyawaranont
(3rd year, Computer Engineering & Digital Technology)



Aitsayaphan Limmuangnil
(3rd year, Computer Engineering & Digital Technology)